Complaint Packet

Maryland Insurance Administration

To: Maryland Insurance Administration

From: Delia Vance

Delia Vance
[address redacted in this synthetic example]
Towson, MD 21204

Email: delia.vance@example.invalid

Re: Complaint against Chesapeake Indemnity Mutual

Reference: CIM-CLS-0000-0000

Mailing address:

Maryland Insurance Administration
Consumer Complaints & Investigation
200 St. Paul Place, Suite 2700
Baltimore, MD 21202

Assembled by advocacy-toolkit packet builder. Exhibit order and labeling are defined in the accompanying packet manifest.

COMPLAINT TO THE MARYLAND INSURANCE ADMINISTRATION

SYNTHETIC — NOT A REAL CASE

Complainant: Delia Vance, 414 Aigburth Vale, Towson, MD 21204.

Respondent: Chesapeake Indemnity Mutual (synthetic), NAIC placeholder 99999. Policy CIM-CLS-0000-0000.

Claim number: CIM-2025-03-5517.

MIA case number (assigned): MIA-SYN-0000-0000.

Date filed: 2025-09-12.

I. Summary

Chesapeake Indemnity Mutual ("CIM") has applied a $5,280.50 deduction labeled "non-customary charges" against the Agreed Value of Complainant's 1969 Ford Mustang Mach 1, insured under an Agreed Value endorsement (CIM-AV-ENDT-2023), and on June 24, 2025 transferred the vehicle to its salvage vendor while Complainant's written objection was on file and no release had been signed. Complainant requests MIA review of two issues:

- Unauthorized salvage transfer in violation of CIM-SALV-2023 §3.
- **Improper substitution of a vendor ACV for the Agreed Value, and improper re-characterization of a Specialist Shop's published rate schedule as "non-customary."**

II. Facts

- On March 15, 2025, Complainant's 1969 Ford Mustang Mach 1 was rear-ended at a stoplight in Columbia, MD. Complainant was not at fault. (Howard County PD report CPD-SYN-2025-0315-0042.)
- On March 16, 2025, Complainant filed a first notice of loss with CIM. Claim CIM-2025-03-5517 opened.
- On March 19, 2025, Dundalk Bodywork and Crabcakes — a general-population body shop in Baltimore County — declined the repair, citing parts-sourcing constraints for the 1969 platform and lack of a frame jig for vintage work.
- On March 21, 2025, CIM adjuster Harlan Whitlock approved movement of the vehicle to Midlife Crisis Restorations of Wilmington, a vintage specialist in Wilmington, DE, for inspection. CIM's written approval planted the "customary-rate" limitation in advance of any written rate-schedule objection.
- On March 24, 2025, Midlife Crisis Restorations forwarded its **published rate schedule** to CIM by email with the adjuster in CC: $95/hr vintage body labor, $55/day storage after day 7, parts sourcing cost + 15%. **CIM did not object in writing.** Under

CIM-VEH-2023 §7.3, failure to object within 14 days constitutes acknowledgement of the schedule for this claim.

- On April 7, 2025, MidAtlantic Vehicle Appraisers ("MAVA"), a vendor retained by CIM, inspected the vehicle at Midlife Crisis Restorations.
- On April 17, 2025, MAVA issued report MAVA-2025-04-0117, producing an ACV of $52,719.50 and a repair estimate of $34,802.00 at "customary regional rates" of $75/hr labor — a rate inapplicable to vintage-platform work and not reflective of the Specialist Shop population contemplated by CIM-VEH-2023 Article VII.
- On April 18, 2025, Complainant objected in writing to the MAVA methodology on two grounds: (a) vendor ACV cannot substitute for Agreed Value absent fraud or material misrepresentation under CIM-AV-ENDT-2023 §2, and (b) $75/hr is not the Specialist Shop rate.
- On April 21, 2025, Complainant retrieved the full policy form set from the producing agency, Meritor Insurance Group, Annapolis MD, because CIM's online portal provided only the Declarations page.
- On May 9, 2025, CIM issued a formal position letter offering Agreed Value minus a $5,280.50 deduction and minus the deductible. The deduction comprised three line items: storage beyond 7 days ($1,840.00), "specialist labor rate premium" ($2,640.50), and parts sourcing fee ($800.00).
- On May 22, 2025, Complainant objected in writing, citing CIM-AV-ENDT-2023 §2(a), CIM-VEH-2023 §§7.2, 7.3, 9.1, and the prior unanswered rate-schedule transmission.
- On June 10, 2025, CIM reiterated the offer as "final" and warned that absent signed release within 14 days the vehicle would be transferred to salvage under CIM-SALV-2023.
- **On June 24, 2025, CIM transferred the vehicle to its salvage vendor, Tri-State Salvage Partners, Elkton MD, with no signed release and no written consent to pre-settlement transfer from Complainant.** Complainant's written objection of May 22 remained on file and had not been withdrawn.
- On June 25, 2025, Complainant escalated in writing and demanded either return of the vehicle or payment of Agreed Value less deductible ($57,500.00). CIM did not respond substantively.
- On August 15, 2025, Midlife Crisis Restorations provided an opinion letter and a regional rate survey confirming (a) Midlife Crisis Restorations' $95/hr is within the interquartile range for six regional vintage specialists, (b) parts-sourcing at cost + 15% is industry-standard, and (c) the $55/day storage rate is Midlife Crisis Restorations' published all-customer rate.

III. Issues for MIA review

A. Unauthorized salvage transfer (lead grievance).

CIM-SALV-2023 §3 permits salvage transfer only upon (a) signed release completing a total-loss settlement, or (b) written pre-settlement consent of the insured. Neither occurred. The

transfer was ultra vires under §3.3 of the same form and does not prejudice Complainant's right to pursue the full Agreed Value.

B. Improper substitution of vendor ACV for Agreed Value.

CIM-AV-ENDT-2023 §2 forecloses substitution of a vendor ACV for the Agreed Value absent fraud or material misrepresentation. CIM has not alleged either. The MAVA $52,719.50 ACV is not a permissible measure of indemnity.

C. Improper "non-customary" characterization of Specialist Shop rates.

CIM-VEH-2023 Article VII expressly contemplates Specialist Shop rates and defines "customary rate" relative to equivalent specialist work, not general-population body-shop rate. §7.3 treats an un-objected published schedule as acknowledged. The rate schedule was forwarded to CIM on March 24, 2025; no objection followed within 14 days.

IV. Relief requested

- Payment of Agreed Value ($58,000) less $500 deductible = **$57,500.00**, in full satisfaction of indemnity, without the $5,280.50 deduction.
- Written correction of CIM's claim file to remove the "non-customary charges" characterization.
- Confirmation that the June 24, 2025 salvage transfer and any settlement check issued after it shall not be treated as constructive acceptance of the May 9 offer.

V. Supporting exhibits

See complaint_packet/ directory. Index in exhibits/MANIFEST.md.

- Exhibit A — Declarations page.
- Exhibit B — Full policy form set (CIM-VEH-2023, CIM-AV-ENDT-2023, CIM-SALV-2023).
- Exhibit C — Correspondence compilation (emails 001–020).
- Exhibit D — MAVA valuation report (2025-04-17).
- Exhibit E — Photographs (vehicle at Midlife Crisis Restorations; damage closeup; VIN plate placeholder).
- Exhibit F — Midlife Crisis Restorations opinion letter and parts-market comparables (2025-08-15).
- Exhibit G — Salvage-transfer notification (2025-06-24).

Signature: /s/ Delia Vance — 2025-09-12.

SYNTHETIC — NOT A REAL CASE. This document is a teaching artifact.

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Exhibit A

Full policy form set

CIM's three governing forms in effect at loss.

Full policy form set

CIM-VEH-2023 — Classic Vehicle Master Form (stylized extract)

SYNTHETIC — NOT A REAL CASE. This form does not exist. It is a teaching artifact. It does not mimic any real insurer's form layout.

Chesapeake Indemnity Mutual
Classic Vehicle Master Form
Form number: CIM-VEH-2023
Effective: 2023-01-01

Article I — Definitions

1.1 **Classic Vehicle.** A vehicle 20 years or older, maintained in a condition substantially consistent with its original manufacturer specification, and used for limited recreational, exhibition, or club purposes.

1.2 **Specialist Shop.** A repair facility with demonstrated experience in period-correct restoration of the insured vehicle's era and platform.

1.3 **Customary Rate.** A rate comparable to prevailing rates for *equivalent work* in the region of the repair. For specialist work, "equivalent" refers to the narrower population of specialist shops capable of performing the work, not the general-population body-shop rate.

Article VII — Repair and Specialist Labor

7.1 The insurer shall pay for repair at a Specialist Shop when a repair facility of the insured's ordinary choice has declined the work due to platform- or era-specific scope.

7.2 Specialist labor rates shall be deemed customary where they fall within the prevailing rate range of regional specialist shops for equivalent vintage-platform work. Customary-rate determinations shall not be based on the general-population body-shop rate.

7.3 The insurer may request a shop's published rate schedule prior to repair authorization. Failure to object to a published schedule in writing within 14 days of receipt constitutes acknowledgement of the schedule for purposes of this claim.

Article IX — Storage

9.1 Reasonable storage at a Specialist Shop is covered up to the duration reasonably necessary for inspection, estimate, and disposition. Storage rates published on the shop's customer intake form, in effect at time of intake, are deemed customary absent written objection under §7.3.

Footer: SYNTHETIC — NOT A REAL CASE. Chesapeake Indemnity Mutual is a fictional company created for a teaching example.

Full policy form set

CIM-AV-ENDT-2023 — Agreed Value Endorsement (stylized extract)

SYNTHETIC — NOT A REAL CASE.

Chesapeake Indemnity Mutual
Agreed Value Endorsement to Form CIM-VEH-2023
Form number: CIM-AV-ENDT-2023
Effective: 2023-01-01

Section 1 — Schedule of Value

1.1 The *Agreed Value* for the insured vehicle is the amount stated on the Declarations Page, established at policy inception by mutual agreement between insured and insurer.

Section 2 — Payment Upon Total Loss

2.1 (a) Upon total loss, the insurer shall pay the Agreed Value, less any applicable deductible, as the measure of indemnity. The insurer shall not substitute an independent or vendor-derived Actual Cash Value for the Agreed Value, except where:

(i) the insurer establishes by a preponderance that the insured procured the policy by fraud or material misrepresentation with respect to the vehicle's identity, condition, or value; or

(ii) the insured, in writing, requests reopening of the Schedule of Value at renewal.

2.2 (b) A valuation commissioned by the insurer or by an appraisal vendor retained by the insurer does not displace the Agreed Value. It may inform repair-versus-total-loss analysis, but it is not a substitute measure of indemnity.

Section 3 — Partial Loss

3.1 For partial loss, the insurer pays the cost of repair at customary rates as defined in CIM-VEH-2023 Article VII, not to exceed the Agreed Value.

Full policy form set

CIM-SALV-2023 — Salvage and Total Loss Provisions (stylized extract)

SYNTHETIC — NOT A REAL CASE.

Chesapeake Indemnity Mutual
Salvage and Total Loss Provisions
Form number: CIM-SALV-2023
Effective: 2023-01-01

Section 1 — Total Loss Declaration

1.1 A vehicle is declared a total loss where the cost of repair plus residual value exceeds the Agreed Value (for Agreed-Value policies) or the Actual Cash Value (for ACV policies), or where repair is not feasible.

Section 2 — Settlement Check

2.1 Upon declaration of total loss, the insurer tenders a settlement check in the amount of indemnity. Acceptance of the settlement check, without reservation of rights in writing, constitutes release of the claim.

Section 3 — Salvage Transfer

3.1 Transfer of the vehicle to the insurer's salvage vendor may occur only upon:

(a) delivery of a signed release from the insured, completing the total-loss settlement; **or**

(b) written consent of the insured authorizing transfer prior to settlement.

3.2 Absent (a) or (b) above, the vehicle shall remain at the repair facility or at a location designated by the insured, pending resolution.

3.3 A salvage transfer effected in violation of §3.1 is ultra vires and does not prejudice the insured's right to pursue the full Agreed Value.

Section 4 — Insured's Right to Retain

4.1 The insured may elect to retain the salvage vehicle by accepting a reduced settlement equal to the Agreed Value less salvage value. Election shall be in writing.

Footer: SYNTHETIC — NOT A REAL CASE.

Exhibit B

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

Three-layer ingested email set in chronological order.

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-03-16 09:14 -0400
From: Delia Vance
To: claims-intake@chesapeake-indemnity-mutual.example
Subject: First notice of loss — 1969 Mustang — policy CIM-CLS-0000-0000

To Chesapeake Indemnity Mutual claims intake,

I am filing a first notice of loss under policy CIM-CLS-0000-0000.

Yesterday (March 15, 2025) around 4:40 PM my 1969 Ford Mustang Mach 1 was rear-ended while I was stopped at a red light on Route 29 near Broken Land Pkwy in Columbia, MD. I was not at fault. Howard County PD responded; report number CPD-SYN-2025-0315-0042.

The vehicle was drivable enough to be towed to my residence at 414 Aigburth Vale, Towson, MD. Visible damage is to the rear quarter panels, trunk lid, rear frame rail area, and bumper assembly. I do not know the extent of frame damage without a shop inspection.

Please assign an adjuster. The vehicle is insured under the agreed-value endorsement (agreed value $58,000).

Delia Vance
(410) 555-0142

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-03-16 09:15 -0400
From: Chesapeake Indemnity Mutual Claims
To: Delia Vance
Subject: [auto-ack] Claim received — CIM-2025-03-5517

Ms. Vance,

We have received your notice of loss. Your claim number is CIM-2025-03-5517. An adjuster will contact you within one business day.

You can upload documents and photos at our claim portal. Please note the portal shows declarations-page information only; for the full policy form set, contact your producing agent.

This is an automated message. Do not reply.

— Chesapeake Indemnity Mutual Claims

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-03-17 10:04 -0400
From: Harlan Whitlock
To: Delia Vance
Subject: Claim CIM-2025-03-5517 — adjuster assignment

Ms. Vance,

I've been assigned to your claim (CIM-2025-03-5517). I'm sorry to hear about the collision.

Next steps:

1. Please confirm a shop for inspection. We have several network shops in the Baltimore/Columbia area. For vintage vehicles we generally recommend a shop you are comfortable with; customary-rate provisions apply under the policy.
2. Upload any photos you have to the portal.
3. If you have the police report, please forward when available.

I'll call this afternoon to introduce myself.

— Harlan Whitlock
Chesapeake Indemnity Mutual, Claims

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-03-19 15:22 -0400
From: Dundalk Bodywork and Crabcakes
To: Delia Vance
Subject: Re: 1969 Mustang inspection — unable to accept work

Ms. Vance,

Thank you for bringing in the Mustang today. After inspecting the rear frame rail area we are declining the repair. The work requires NOS or period-correct panels and a frame jig we do not have in house; sourcing the parts is outside what we are set up to support on a 1969 platform.

We recommend a restoration specialist. Midlife Crisis Restorations of Wilmington (Wilmington, DE) is one we have referred vintage work to before.

Sorry we cannot help.

— Service desk
Dundalk Bodywork and Crabcakes

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-03-19 17:55 -0400
From: Delia Vance
To: Harlan Whitlock
Subject: Fwd: 1969 Mustang inspection — Dundalk Bodywork and Crabcakes declined; moving to Midlife Crisis Restorations

Harlan,

Forwarding Dundalk Bodywork and Crabcakes's email declining the repair — they say the frame and panel work is outside what they can source on a 1969. They recommended Midlife Crisis Restorations of Wilmington in Wilmington, DE. I plan to have the car transported to Midlife Crisis Restorations next week unless you object.

Please confirm that moving the car to a specialist shop (out of state, by necessity) does not affect coverage under the policy.

— Delia

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-03-21 09:37 -0400
From: Harlan Whitlock
To: Delia Vance
Subject: RE: Moving vehicle to Midlife Crisis Restorations of Wilmington

Ms. Vance,

Moving the vehicle to Midlife Crisis Restorations of Wilmington is fine for inspection purposes. Please understand that coverage for labor and storage is subject to customary-rate provisions in the policy — we will pay up to customary regional rates; any premium over those is the insured's responsibility unless we agree otherwise in writing.

Please have Midlife Crisis Restorations send us their rate sheet and an initial inspection estimate. I'll schedule our appraiser from MidAtlantic Vehicle Appraisers for a week after the vehicle arrives.

— Harlan

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-03-24 14:12 -0400
From: Arden Moody
To: Delia Vance
Cc: Harlan Whitlock
Subject: 1969 Mustang Mach 1 — intake confirmation and rate schedule

Ms. Vance,

Confirming receipt of the 1969 Mustang Mach 1 at our Wilmington shop as of this afternoon. Preliminary walk-around notes: rear frame rail buckling on the driver side, trunk floor distortion, quarter-panel damage consistent with a rear-end impact at low-to-moderate speed.

Our published rate schedule:
- Vintage body labor: $95.00 / hr
- Storage (covered bay): $55.00 / day after day 7
- Parts sourcing (NOS/period-correct): cost + 15%

These are our published rates for all customers and have been in effect since 2024. We are happy to discuss with the carrier.

An appointment for the MidAtlantic Vehicle Appraisers inspection is being coordinated.

— Arden Moody
Midlife Crisis Restorations of Wilmington

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-04-02 10:50 -0400
From: Joyce Pemberton
To: Delia Vance
Cc: Harlan Whitlock
Subject: MAVA inspection scheduled — 1969 Mustang — Midlife Crisis Restorations, Wilmington DE

Ms. Vance,

I'm with MidAtlantic Vehicle Appraisers, retained by Chesapeake Indemnity Mutual on your claim. I've scheduled an on-site inspection at Midlife Crisis Restorations of Wilmington for April 7, 2025 at 10:00 AM.

My report will go to Mr. Whitlock and will cover actual cash value (ACV) and repair-versus-total-loss analysis.

— Joyce Pemberton
MidAtlantic Vehicle Appraisers

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-04-03 08:14 -0400
From: Delia Vance
To: Harlan Whitlock
Cc: Joyce Pemberton
Subject: Scope of MAVA inspection — will ACV use agreed-value endorsement?

Harlan,

Quick question on scope before the April 7 inspection: the policy has an agreed-value endorsement ($58,000). Will the MAVA report honor that figure, or is MAVA going to produce its own ACV number?

My understanding is that under an agreed-value endorsement the figure set at policy inception governs, and a vendor ACV would apply only if the agreed-value endorsement were not in force.

— Delia

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-04-17 16:33 -0400
From: Joyce Pemberton
To: Harlan Whitlock
Cc: Delia Vance
Subject: MAVA report MAVA-2025-04-0117 — 1969 Mustang Mach 1

All,

Attached is MAVA report MAVA-2025-04-0117.

Summary:
- ACV (condition-adjusted, market comps): $52,719.50
- Repair estimate (customary regional rates): $34,802.00
- Total-loss threshold met: No
- Recommended disposition: Repair at customary regional rates.

Full comps and adjustments in the report.

— Joyce Pemberton

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-04-18 11:09 -0400
From: Delia Vance
To: Harlan Whitlock
Cc: Joyce Pemberton
Subject: Objection — MAVA report methodology

Harlan,

I object to the MAVA report on two grounds:

1. The agreed value under endorsement CIM-AV-ENDT-2023 is $58,000. An independent vendor ACV of $52,719.50 is not a permissible substitute for the agreed value unless the agreed-value endorsement is void, which no one has alleged.

2. The repair estimate uses "customary regional rates" of $75/hr, which do not exist for vintage-frame work in this region. Dundalk Bodywork and Crabcakes, which declined the job, quoted no rate because they do not do this work. Midlife Crisis Restorations' $95/hr is their published rate for all customers, not a premium.

Please acknowledge the agreed-value endorsement and revise the scope.

— Delia

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-04-21 09:02 -0400
From: Delia Vance
To: Rowan Keel
Subject: Request — full policy form set for CIM-CLS-0000-0000

Rowan,

I'm in an active claim (CIM-2025-03-5517) and I need the complete policy form set for my classic-vehicle policy, CIM-CLS-0000-0000.

The Chesapeake Indemnity Mutual online portal only provides the declarations page. I need the full forms:

- CIM-VEH-2023 (master classic-vehicle form)
- CIM-AV-ENDT-2023 (agreed-value endorsement)
- CIM-SALV-2023 (salvage / total-loss provisions)
- Any other endorsements on the policy.

Please send as PDFs at your earliest convenience.

Thanks,
Delia Vance

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-04-21 15:38 -0400
From: Rowan Keel
To: Delia Vance
Subject: RE: Request — full policy form set for CIM-CLS-0000-0000

Delia,

Attached: the full policy form set as of your effective period (2024-07-01 to 2025-07-01).

- CIM-VEH-2023.pdf
- CIM-AV-ENDT-2023.pdf
- CIM-SALV-2023.pdf

No other endorsements are on your policy. Your policy is in good standing. Let me know if you need anything else.

Rowan Keel
Meritor Insurance Group
Annapolis, MD

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-05-09 10:17 -0400
From: Harlan Whitlock
To: Delia Vance
Subject: Claim CIM-2025-03-5517 — settlement offer and position statement

Ms. Vance,

After reviewing the MidAtlantic Vehicle Appraisers report and the repair estimate from Midlife Crisis Restorations of Wilmington, Chesapeake Indemnity Mutual offers the following settlement:

Agreed value (per CIM-AV-ENDT-2023): $58,000.00
Less non-customary charges (see schedule below): -$5,280.50
Less deductible: -$500.00
Net settlement offer: $52,219.50

Schedule of non-customary charges:
- Storage beyond 7 days at specialist shop: $1,840.00
- Specialist labor rate premium ($95/$75): $2,640.50
- Parts sourcing fee (NOS / period-correct): $800.00

Please indicate acceptance within 30 days. If we do not hear from you we will move to dispose of the vehicle under salvage provisions CIM-SALV-2023.

— Harlan Whitlock
Chesapeake Indemnity Mutual

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-05-22 14:20 -0400
From: Delia Vance
To: Harlan Whitlock
Subject: Formal objection — non-customary-charges deduction

Mr. Whitlock,

I object, in writing, to the $5,280.50 deduction and to the characterization of the underlying charges as "non-customary."

1. Agreed value governs. Endorsement CIM-AV-ENDT-2023, Section 2(a), provides that the agreed value is the amount payable upon total loss, and that the insurer shall not substitute an independent valuation absent fraud or material misrepresentation, neither of which is alleged here. The $58,000 figure is a contract term, not a starting point for negotiation.

2. Specialist labor is contemplated by the policy. CIM-VEH-2023 §VII expressly recognizes restoration-specialist rates for vintage-platform repair. Dundalk Bodywork and Crabcakes declined because the work is outside contemporary-shop scope; that declination is on file (see 2025-03-19 email).

3. Midlife Crisis Restorations' rate schedule is not a premium. $95/hr is Midlife Crisis Restorations' published rate for all customers, forwarded to you at intake on 2025-03-24 with no objection.

4. Storage rate is published and pre-disclosed. Same thread.

Please withdraw the $5,280.50 deduction and pay the agreed value less the $500 deductible, $57,500.00 total. I reserve all rights and remedies including the filing of a complaint with the Maryland Insurance Administration.

— Delia Vance

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-06-10 10:02 -0400
From: Harlan Whitlock
To: Delia Vance
Subject: Claim CIM-2025-03-5517 — final offer; salvage disposition in 14 days

Ms. Vance,

Chesapeake Indemnity Mutual has reviewed your objection of 2025-05-22 and maintains the offer of 2025-05-09. The deduction is consistent with customary-rate provisions and is appropriate under the policy.

This is the final offer. If we do not receive a signed release within 14 days, the vehicle will be transferred to our salvage vendor under CIM-SALV-2023 and a total-loss settlement at the offer amount will be paid to you.

— Harlan Whitlock

Salvage-transfer notification (2025-06-24)

SYNTHETIC — NOT A REAL CASE

Date: 2025-06-24 16:31 -0400
From: CIM Salvage Operations
To: Delia Vance
Cc: Harlan Whitlock
Subject: Notification — salvage transfer executed — claim CIM-2025-03-5517

Ms. Vance,

This is to notify you that the 1969 Ford Mustang Mach 1 associated with claim CIM-2025-03-5517 was transferred this afternoon from Midlife Crisis Restorations of Wilmington to Tri-State Salvage Partners, Elkton MD, under the salvage provisions of your policy (CIM-SALV-2023).

A settlement check in the offer amount ($52,219.50) will be issued within 5 business days.

— CIM Salvage Operations

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-06-25 08:10 -0400
From: Delia Vance
To: Harlan Whitlock
Cc: supervisor-escalation@chesapeake-indemnity-mutual.example
Subject: Escalation — unauthorized salvage transfer — claim CIM-2025-03-5517

To Mr. Whitlock and to supervisor escalation:

The salvage transfer of the 1969 Mustang Mach 1 yesterday was not authorized by me. I have never signed a release. My written objection of 2025-05-22 remains on the record and was not withdrawn.

Under CIM-SALV-2023 §3, salvage transfer requires either (a) a completed total-loss settlement with signed release from the insured or (b) written consent to proceed before settlement. Neither occurred.

I require the following in writing within 5 business days:

1. An explanation of under what clause you believe the transfer was authorized.
2. A commitment that the settlement check, if issued, is not construed as constructive acceptance of the offer.
3. Either return of the vehicle or payment of the full agreed value ($58,000) less the $500 deductible.

I will file a complaint with the Maryland Insurance Administration if this is not resolved within 30 days.

— Delia Vance

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-07-18 11:20 -0400
From: Delia Vance
To: Arden Moody
Subject: Fact-finding — rate-schedule history and 2024 customers

Arden,

I'm assembling a complaint to MIA. Could you confirm, in writing, for my packet:

1. Midlife Crisis Restorations' $95/hr vintage-body labor rate has been in effect since 2024 and applies to every customer.
2. The $55/day storage rate is published on your customer intake form for every customer.
3. The 15% parts-sourcing surcharge (NOS / period-correct) is a cost-plus line your shop uses industry-wide, not a custom upcharge for this claim.

A short letter on your letterhead with these three confirmations would be perfect. I will attach it as an exhibit.

Thanks,
Delia

Correspondence compilation (20 emails, 2025-03-16 to 2025-08-15)

SYNTHETIC — NOT A REAL CASE

Date: 2025-08-15 10:09 -0400
From: Arden Moody
To: Delia Vance
Subject: Opinion letter and parts-market comparables — 1969 Mustang Mach 1

Delia,

Attached:

- Midlife Crisis Restorations opinion letter (on letterhead) confirming the three items you asked about.
- Parts-market comparables sheet: three vendor quotes for NOS and period-correct panel replacements for 1969 Mustang Mach 1, all within +/- 8% of our sourcing price.
- Regional rate survey covering six other DE/MD/PA vintage-specialist shops; $95/hr is within the interquartile range.

This is everything you asked for on 2025-07-18.

— Arden Moody
Midlife Crisis Restorations of Wilmington

Exhibit C

MAVA valuation report MAVA-2025-04-0117

2025-04-17

Insurer's retained-vendor valuation of 2025-04-17.

MidAtlantic Vehicle Appraisers

Report MAVA-2025-04-0117

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Prepared for	Chesapeake Indemnity Mutual
Claim	CIM-2025-03-5517
Insured	Delia Vance
Date of inspection	2025-04-07
Date of report	2025-04-17
Appraiser	Joyce Pemberton

Vehicle

Year / Make / Model	1969 Ford Mustang Mach 1
Color	Candy Apple Red
Odometer	84,000 miles
VIN	VIN REDACTED — SYNTHETIC CASE
Location of inspection	Midlife Crisis Restorations of Wilmington, Wilmington DE

Condition notes

• Rear frame rail buckling (driver side), visible from underbody.

• Trunk floor distortion.

• Quarter-panel damage, both sides, consistent with rear-end impact.

• Interior and drivetrain: undamaged.

Market comparables (redacted)

Three comparable 1969 Mustang Mach 1 units, 72,000 to 91,000 mi range, sold between Nov 2024 and Feb 2025 at regional classic-car auctions. Condition adjustments applied per MAVA internal matrix.

Comp	Sale price	Adj.	Adjusted
A	$56,400	-$2,100	$54,300
B	$52,800	+$600	$53,400
C	$51,900	-$1,450	$50,450
Mean			$52,716.67

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Actual cash value determination

ACV (condition-adjusted, market comps): **$52,719.50**

Repair estimate (customary regional rates)

Labor at $75.00/hr; parts at vendor quote; storage at $25/day.

Total: **$34,802.00**

Total-loss threshold analysis

Repair-cost-to-ACV ratio: 66.0%. Total-loss threshold (80%) not met. Recommended disposition: repair at customary regional rates.

Appraiser signature

/s/ Joyce Pemberton -- 2025-04-17

MidAtlantic Vehicle Appraisers -- SYNTHETIC -- NOT A REAL CASE

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Exhibit D

Photographs of vehicle

Synthetic placeholder JPEGs (regenerated by scripts.synthetic_case).

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Mustang at Midlife Crisis Restorations -- rear 3/4 view

Mustang at Midlife Crisis Restorations of Wilmington -- rear 3/4 view, vehicle in covered bay on intake day. Photo by claimant, 2025-03-24.

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Damage closeup -- driver-side rear quarter

Damage closeup -- driver-side rear quarter panel, trunk lid misalignment visible. Photo by claimant, 2025-03-24.

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VIN plate -- VIN REDACTED -- SYNTHETIC CASE

VIN plate (driver-side doorjamb). VIN REDACTED -- SYNTHETIC CASE. Photo by claimant, 2025-03-24.

Exhibit E

Midlife Crisis Restorations opinion letter and parts-market comparables

2025-08-15

Specialist-shop opinion and independent rate survey.

Midlife Crisis Restorations opinion letter and parts-market comparables

Midlife Crisis Restorations of Wilmington — Opinion Letter

SYNTHETIC — NOT A REAL CASE.

Midlife Crisis Restorations of Wilmington
1201 N Market St, Wilmington, DE 19801

2025-08-15

To whom it may concern (re: Delia Vance / 1969 Mustang Mach 1):

1. Our vintage-body labor rate of $95.00/hr has been in effect since January 2024 and applies to every customer we perform vintage-platform work for. It is not a custom rate.

2. Our $55.00/day covered-bay storage rate (after day 7) is listed on the customer intake form every customer signs at drop-off. It is not a custom rate.

3. Our 15% surcharge on NOS and period-correct parts sourcing is a cost-plus line used industry-wide by vintage-specialist shops to account for research time, vendor intake, and quality verification.

Attached separately: regional rate survey covering six DE/MD/PA vintage specialists and three vendor quotes for NOS/period-correct panels.

/s/ Arden Moody, proprietor, Midlife Crisis Restorations of Wilmington

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Midlife Crisis Restorations opinion letter and parts-market comparables

Parts-Market Comparables — 1969 Mustang Mach 1

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Compiled by Midlife Crisis Restorations of Wilmington, 2025-08-15.

NOS and period-correct panel quotes

Vendor	Item	Quote
Chesapeake NOS Supply	Rear quarter panel, driver side	$2,480
Atlantic Period Auto Parts	Rear quarter panel, driver side	$2,640
Mid-Atlantic Restoration	Rear quarter panel, driver side	$2,720
Midlife Crisis Restorations sourcing price	Same (incl. 15% surcharge)	$2,613

All three vendor quotes are within +/- 8% of Midlife Crisis Restorations' sourcing price.

Regional specialist labor rates (2025 survey)

Shop (DE/MD/PA)	Rate $/hr
Midlife Crisis Restorations of Wilmington	$95
Shop 2 (Harford County MD)	$105
Shop 3 (Chester County PA)	$92
Shop 4 (Cecil County MD)	$88
Shop 5 (New Castle County DE)	$98
Shop 6 (Montgomery County PA)	$110

IQR: $92 – $105. Midlife Crisis Restorations' rate is within the IQR.

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Exhibit F

Salvage-transfer notification (2025-06-24)

2025-06-24

Core grievance — salvage transfer while negotiations ongoing.

Salvage-transfer notification (2025-06-24)

SYNTHETIC — NOT A REAL CASE

Date: 2025-06-24 16:31 -0400
From: CIM Salvage Operations
To: Delia Vance
Cc: Harlan Whitlock
Subject: Notification — salvage transfer executed — claim CIM-2025-03-5517

Ms. Vance,

This is to notify you that the 1969 Ford Mustang Mach 1 associated with claim CIM-2025-03-5517 was transferred this afternoon from Midlife Crisis Restorations of Wilmington to Tri-State Salvage Partners, Elkton MD, under the salvage provisions of your policy (CIM-SALV-2023).

A settlement check in the offer amount ($52,219.50) will be issued within 5 business days.

— CIM Salvage Operations

ke Indemnity Mutual — Governing Documents (Compiled R

Governing-Documents Appendix

Counterparty: Chesapeake Indemnity Mutual

Reproduced from the policy form set as retrieved from the producing agency (Meritor Insurance Group) on 2025-04-21. See email 013 for chain of custody. SYNTHETIC — NOT A REAL CASE.

COMPILED REFERENCE

This appendix is a compiled reference assembled from documents produced by the counterparty (or retrieved from their public filings / website) during the course of this dispute. It is NOT the official, authoritatively-filed version of any governing document. Any reviewer who needs the official version should request it directly from the counterparty or the relevant filing authority.

Source 1

CIM-VEH-2023.md

COMPILED REFERENCE

CIM-VEH-2023.md

CIM-VEH-2023 — Classic Vehicle Master Form (stylized extract)

SYNTHETIC — NOT A REAL CASE. This form does not exist. It is a teaching artifact. It does not mimic any real insurer's form layout.

Chesapeake Indemnity Mutual
Classic Vehicle Master Form
Form number: CIM-VEH-2023
Effective: 2023-01-01

Article I — Definitions

1.1 **Classic Vehicle.** A vehicle 20 years or older, maintained in a condition substantially consistent with its original manufacturer specification, and used for limited recreational, exhibition, or club purposes.

1.2 **Specialist Shop.** A repair facility with demonstrated experience in period-correct restoration of the insured vehicle's era and platform.

1.3 **Customary Rate.** A rate comparable to prevailing rates for *equivalent work* in the region of the repair. For specialist work, "equivalent" refers to the narrower population of specialist shops capable of performing the work, not the general-population body-shop rate.

Article VII — Repair and Specialist Labor

7.1 The insurer shall pay for repair at a Specialist Shop when a repair facility of the insured's ordinary choice has declined the work due to platform- or era-specific scope.

7.2 Specialist labor rates shall be deemed customary where they fall within the prevailing rate range of regional specialist shops for equivalent vintage-platform work. Customary-rate determinations shall not be based on the general-population body-shop rate.

7.3 The insurer may request a shop's published rate schedule prior to repair authorization. Failure to object to a published schedule in writing within 14 days of receipt constitutes acknowledgement of the schedule for purposes of this claim.

Article IX — Storage

COMPILED REFERENCE

9.1 Reasonable storage at a Specialist Shop is covered up to the duration reasonably necessary for inspection, estimate, and disposition. Storage rates published on the shop's customer intake form, in effect at time of intake, are deemed customary absent written objection under §7.3.

Footer: SYNTHETIC — NOT A REAL CASE. Chesapeake Indemnity Mutual is a fictional company created for a teaching example.

COMPILED REFERENCE

Source 2

CIM-AV-ENDT-2023.md

COMPILED REFERENCE

CIM-AV-ENDT-2023.md

CIM-AV-ENDT-2023 — Agreed Value Endorsement (stylized extract)

SYNTHETIC — NOT A REAL CASE.

Chesapeake Indemnity Mutual
Agreed Value Endorsement to Form CIM-VEH-2023
Form number: CIM-AV-ENDT-2023
Effective: 2023-01-01

Section 1 — Schedule of Value

1.1 The *Agreed Value* for the insured vehicle is the amount stated on the Declarations Page, established at policy inception by mutual agreement between insured and insurer.

Section 2 — Payment Upon Total Loss

2.1 (a) Upon total loss, the insurer shall pay the Agreed Value, less any applicable deductible, as the measure of indemnity. The insurer shall not substitute an independent or vendor-derived Actual Cash Value for the Agreed Value, except where:

(i) the insurer establishes by a preponderance that the insured procured the policy by fraud or material misrepresentation with respect to the vehicle's identity, condition, or value; or

(ii) the insured, in writing, requests reopening of the Schedule of Value at renewal.

2.2 (b) A valuation commissioned by the insurer or by an appraisal vendor retained by the insurer does not displace the Agreed Value. It may inform repair-versus-total-loss analysis, but it is not a substitute measure of indemnity.

Section 3 — Partial Loss

3.1 For partial loss, the insurer pays the cost of repair at customary rates as defined in CIM-VEH-2023 Article VII, not to exceed the Agreed Value.

Footer: SYNTHETIC — NOT A REAL CASE.

COMPILED REFERENCE

COMPILED REFERENCE

Source 3

CIM-SALV-2023.md

COMPILED REFERENCE

CIM-SALV-2023.md

CIM-SALV-2023 — Salvage and Total Loss Provisions (stylized extract)

SYNTHETIC — NOT A REAL CASE.

Chesapeake Indemnity Mutual
Salvage and Total Loss Provisions
Form number: CIM-SALV-2023
Effective: 2023-01-01

Section 1 — Total Loss Declaration

1.1 A vehicle is declared a total loss where the cost of repair plus residual value exceeds the Agreed Value (for Agreed-value policies) or the Actual Cash Value (for ACV policies), or where repair is not feasible.

Section 2 — Settlement Check

2.1 Upon declaration of total loss, the insurer tenders a settlement check in the amount of indemnity. Acceptance of the settlement check, without reservation of rights in writing, constitutes release of the claim.

Section 3 — Salvage Transfer

3.1 Transfer of the vehicle to the insurer's salvage vendor may occur only upon:

(a) delivery of a signed release from the insured, completing the total loss settlement; **or**

(b) written consent of the insured authorizing transfer prior to settlement.

3.2 Absent (a) or (b) above, the vehicle shall remain at the repair facility or at a location designated by the insured, pending resolution.

3.3 A salvage transfer effected in violation of §3.1 is ultra vires and does not prejudice the insured's right to pursue the full Agreed Value.

Section 4 — Insured's Right to Retain

COMPILED REFERENCE

4.1 The insured may elect to retain the salvage vehicle by accepting a reduced settlement equal to the Agreed Value less salvage value. Election shall be in writing.

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